

REPORT OF THE

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JOINT BUDGET, FINANCE AND INVESTMENT PROMOTION AND THE PUBLIC ACCOUNTS COMMITTEE

ON THE BENCHMARK VISIT TO NIGERIA NATIONAL ASSEMBLY

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REPORT ON BENCHMARKING VISIT BY THE JOINT PORTFOLIO COMMITTEES ON BUDGET FINANCE, AND INVESTMENT PROMOTION AND PUBLIC ACCOUNTS COMMITTEE TO THE NIGERIA NATIONAL ASSEMBLY

1.0 Introduction

The Joint Portfolio Committees on Budget, Finance and Investment Promotion, and the Public Accounts Committee undertook a benchmarking visit to the Nigerian National Assembly over the period 31 August to 6 September 2025. The visit was funded by AfDB under the TAEP Program. The purpose of the visit was to gain insights into Nigeria's legislative oversight mechanisms, particularly in the areas of budget formulation, execution, evaluation, and public debt management. The Nigerian Parliament is bicameral, hence mirrors the Zimbabwean Parliament, except that Members of the Senate are elected through a vote. This report provides the delegation's findings, observations, and presents specific recommendations.

The Zimbabwean delegation comprised the following:

Hon. Dr. Energy Mutodi - Head of delegation
Hon. Caston Matewu
Hon. Clemence Chiduwa
Hon. Patricia Ndudzo
Hon. Lincoln Dhliwayo
Hon. Corban Madzivanyika
Mrs. L. Nyawo – Acting Deputy Clerk
Mr. T. Gumbo – Director Budget Office
Ms. F. Manhivi – Committee Clerk
Mr. F. Muchadakuenda – Committee Clerk

2.0 Objectives of the Visit

- To understand Nigeria's budget cycle and the role of Parliament in its formulation, approval, and execution.
- To examine the oversight functions of Nigeria's Public Accounts Committees in ensuring that the Auditor General's recommendations are implemented.
- To explore Nigeria's strategies for public debt transparency and accountability.
- To identify best practices that could be adapted to Zimbabwe's parliamentary processes.

3.0 Methodology

The delegation met Nigerian parliamentary officials, the Appropriation Committee, the Public Accounts Committee, and support institutions. The methodology combined structured meetings

and interactive discussions. The approach allowed Members to engage with Nigerian parliamentary officials, committees, and support institutions through briefings, question-and-answer sessions, and study tours, focusing on the budget process, debt management systems, and oversight practices. Information was collected through official presentations, while a comparative analysis with Zimbabwe's context helped the delegation to pinpoint best practices, lessons learned, and reform opportunities to enhance fiscal oversight and parliamentary capacity at home.

4.0 FINDINGS

4.1 Fiscal Oversight Committees in the Nigerian Parliament

The Nigerian National Assembly comprises two chambers, the Senate and the House of Representatives. The Committees relevant to the benchmarking visit included:

Committee on Appropriations

The Portfolio Committee on Appropriations in the Nigerian House of Representatives has the duty to scrutinize and appropriate funds to various government programs and projects, review budget assumptions, and ensure fiscal transparency and accountability by holding executive officials responsible for budget implementation. This committee plays a crucial role in exercising the legislature's "power of the purse" by examining budget proposals, engaging stakeholders, and ensuring the budget process is inclusive.

The House Committee on Aids, Loans, and Debt Management in Nigeria's House of Representatives oversees the nation's external financial obligations, including reviewing loan and aid agreements, ensuring responsible and sustainable borrowing, and advising the House on the economic implications of government debt. Its primary role is to provide legislative oversight on the accumulation and management of Nigeria's debt to promote transparency, accountability, and alignment with national economic goals.

The Committee noted that the House Committee on Appropriations handles the review and oversight of budget proposals and the passage of the Appropriation Bill. There is also the House Committee on Finance, which manages fiscal policy, revenue generation, and public finance. House Committee on Aids, Loans, and Debt Management, which oversees external borrowing, loans, and debt strategy. In addition, there is also the House Committee on Banking and Currency that supervises banking policies, currency, and financial stability under the Ministry of Finance's purview.

In Zimbabwe the Budget, Finance, and Investment Promotion Committee covers all the work of the above-mentioned four Committees.

Public Accounts Committee

Both the House of Representatives and the Senate have a Public Accounts Committee, chaired by the Opposition party, that analyses the Auditor General's report independently. In some cases, the Committees conduct joint committees to iron out all grey areas as may be independently observed. The Committee sits five days a week, allowing microscopic scrutiny of all MDAs in the Auditor General Reports to ensure MDAs are accountable.

The Public Accounts Committee of Zimbabwe is only in the National Assembly. However, to cover a lot of ground, it is privileged to meet twice a week, compared to other Committees that meet once a week. In Nigeria, the Public Accounts Committee meets on a daily basis with a view to covering all audited institutions of the Federal Government.

Committee on National Planning and Economic Affairs

The Portfolio Committee on National Planning and Economic Affairs in the Nigeria House of Representatives is responsible for scrutinizing government policies and budgets related to national development and economic affairs, holding the Federal Ministry of National Planning and Economic Affairs and other agencies accountable, and recommending legislation to improve economic planning and resource utilization. Its duties include investigating government policy initiatives, reviewing and approving the budget, ensuring that economic development aligns with national goals, and gathering input from stakeholders to inform legislative decisions.

4.2 The Budget Process Oversight

On Public Consultations, the Nigerian parliament rarely conducts public consultations, mainly because it serves 200 million people who are not easy to reach. The budget is largely informed by Members of Parliament through representative democracy. Furthermore, the Federal Government Ministries conduct a needs assessment of the people before submitting budget proposals. It is believed that Members of Parliament understand the needs of the people more than Government Ministries, hence Members of Parliament are provided with resources to facilitate constituency development

Nigeria's Parliament plays a proactive role in budget scrutiny, with the Appropriations Committee leading detailed analysis of proposed expenditures. The Directorate of Legislative Budget and Planning, which is an equivalent of our Parliament Budget Office, provides independent and impartial analysis to support legislative decision-making on National Development Plans, Medium Term Macroeconomic Framework, Medium Term Expenditure Framework, Fiscal Strategy Paper, and annual appropriations. Based on economic trends, global developments, and domestic challenges affecting the economy, the department analyses the assumptions and provides legislators with facts, indicating whether assumptions are realistic or not. Budget analysis is done at the disaggregated level (MDAs), the Sectoral level, and the aggregate level. Budget analysis does not solely rely on information provided by the Federal Government but also on verified

information provided by Civil Society Organisations, the National Bureau of Statistics, and other recognized institutions.

Once the budget is presented by the Federal President, the appropriations Committee goes for a retreat to effectively analyse allocations vote by vote at programme level, sub-program level, after which the budget can be realigned and approved. This is also the case in Kenya. It has also been noted that the previous year's actual performance is reviewed to reflect on what has been achieved and programmes which could not be implemented, before the following year's budget is approved.

4.3 Utilisation of the Unallocated Reserve Budget

The Unallocated Reserve (UR) is also a salient feature of the Federal Budget, which in Nigeria is referred to as the Service Wide Vote (SWV). Whilst in Zimbabwe, the vote is under the Ministry of Finance, Economic Development and Investment Promotion, in Nigeria, the vote is under the Office of the President and Cabinet. Further, the Service Wide Vote does not exceed 5% of the total budget. MDAs intending to utilize the SWV are required to apply to the Office of the President, justifying the reasons and the emergency circumstance giving rise to the need to use the SWV. At the end of each financial year, a utilization report is submitted for Parliament's consideration.

In Zimbabwe, the Unallocated Reserve remains an amount which is not directly allocated by Parliament to a vote, but the Minister of Finance, Economic Development and Investment Promotion is authorized to spend through the Appropriation Act. There is no limit in terms of the proportion of the budget that should remain unallocated.

4.4 Debt Management Oversight

In Nigeria, Debt Management oversight is done by the Aid, Loans, and Debt Management Committee. All public borrowing should be approved by the House of Representatives. Such approvals are done when the President writes to Parliament justifying the need for borrowing and indicating how borrowed funds will be deployed. The letter is considered separately by both the National Assembly and Senate and can be jointly considered in some instances. Federal States Governments have the power to collect revenue but cannot borrow without Parliament's approval.

Debt Approval Process

The debt approval process in the Nigerian National Assembly (comprising the Senate and the House of Representatives) is a critical component of fiscal governance, ensuring legislative oversight over public borrowing to promote transparency, accountability, and sustainability. The foundation for debt approval stems from constitutional and statutory provisions that bestow the National Assembly the exclusive legislative authority over borrowing and public debt. The

constitution grants the National Assembly power over "borrowing of moneys within or outside Nigeria for the purposes of the Federation or of any State. It governs the Consolidated Revenue Fund (CRF) and authorization of expenditures. All revenues, including borrowed funds, must be paid into the CRF and no moneys can be withdrawn without National Assembly appropriation. This indirectly requires legislative approval for borrowings that fund expenditures.

The Debt Management Office advises the Federal Government annually on financing gaps and borrowing needs (internal and external), forming the basis for the national borrowing program approved by the National Assembly. No external loan is approved or obtained by the Minister unless its terms and conditions have been laid before the National Assembly and approved by its resolution. The Federal Government can guarantee external loans, but only after terms are laid before and approved by the National Assembly (via resolution). Any payments due under such guarantees are charged to the Consolidated Revenue Fund.

Steps in the Debt Approval Process

The process for domestic borrowing varies slightly from external borrowings but generally involves executive proposal, legislative scrutiny, and approval. It integrates with the broader budget cycle.

For External Borrowings (e.g., from multilateral lenders like World Bank, bilateral loans, or Eurobonds):

- The Debt Management Office (DMO) conducts Debt Sustainability Analysis (DSA) and advises the Minister of Finance on borrowing needs to bridge fiscal gaps. This includes evaluating terms for sustainability.
- The Minister proposes borrowings, incorporating them into the Medium-Term Expenditure Framework (MTEF). The Federal Executive Council reviews and approves the proposal.
- The President forwards the request to the National Assembly (often via a letter to the Senate President and Speaker), detailing terms, conditions, purpose, repayment plan, and economic justification. This is laid before both houses.
- The request is referred to specialized committees: Senate Committee on Local and Foreign Debts and House of Representatives Committee on Aids, Loans and Debt Management. These committees review documents, hold public hearings (involving DMO, Ministry of Finance, and other stakeholders), assess sustainability, and submit reports with recommendations.

Reports are debated in plenary sessions of each house. If approved, a resolution is passed (simple majority). Differences between houses are resolved through a joint committee. Upon approval, the Minister signs and executes the loan agreement. Funds are disbursed into the Consolidated Revenue Fund (CRF), with National Assembly oversight on utilization.

Guarantees for Sub-Nationals: States seeking external loans require Federal guarantees, which require separate National Assembly approval.

Contrary to what is obtaining in Nigeria, in Zimbabwe, the Minister presents a borrowing plan to the National Assembly as part of the budget presentation. Once approved by Parliament, the Minister can borrow contract loans without seeking Parliament's approval for each loan. The Minister, however, is obliged to present for ratification the loan agreements. Further, the Minister is obliged to report to Parliament on the status of debt at least twice per year.

For Domestic Borrowings (e.g., Treasury bills, bonds via Central Bank of Nigeria (CBN) or capital markets):

Borrowing is coordinated by the Debt Management Office (DMO) and the Central Bank of Nigeria (CBN), whereby the DMO determines amounts, timings, and instruments, advising on the Annual Domestic Borrowing Programme.

Borrowings are included in the annual Appropriation Bill as part of deficit financing. The Appropriations Committee reviews, and the full houses pass the bill, which becomes the Appropriation Act upon presidential assent. DMO then issues securities, with proceeds charged to the Consolidated Revenue Fund.

Whilst this mirrors what is obtaining in Zimbabwe, domestic debt has also been accumulated through arrears to service providers, which is not a feature of the fiscal accounts in Nigeria.

4.5 The National Institute for Legislative and Democratic Studies

The National Institute for Legislative and Democratic Studies (NILDS) is a statutory organ of the National Assembly of Nigeria established by the National Institute for Legislative Studies Act of 2011 and strengthened by the 2017 amendment, which expanded its functions to include broader democratic support. It is essentially the in-house think tank and research hub of the legislature, mandated to provide technical expertise, capacity development, research, documentation, and policy advice to both chambers of the National Assembly as well as to state legislatures. This makes NILDS one of the most critical institutional backbones of Nigeria’s legislative arm, bridging the gap between law-making and technical evidence while also advancing democratic governance in the country.

The Institute operates through several departments and specialized centres. It runs training and induction programmes for legislators, parliamentary staff, and aides; conducts policy and budget analysis; supports bill drafting and legislative research; and provides administrative and documentation services. Through its Research and Policy divisions, NILDS produces issue briefs, budget analysis, and fiscal projections that often include debt-related data. Its Training and

International Cooperation Department organizes orientation for newly elected legislators and coordinates study tours and exchanges.

NILDS also maintains centres dedicated to specific thematic areas, such as legislative oversight on security matters, and produces manuals, including the widely used Legislative Oversight Manual, which provides structured methodologies for committee inquiries, oversight visits, and hearings. The Institute works closely with development partners and regional bodies.

In its relationship with the National Assembly, NILDS functions as the evidence and knowledge arm of legislative business. NILDS' technical advice helps parliamentarians evaluate bills, motions, and fiscal frameworks with a more rigorous evidence base. Its induction and continuous training programmes for legislators, legislative aides, and staff serve to improve the overall effectiveness of the Assembly. Beyond national work, NILDS has positioned itself as a regional hub for legislative capacity development, hosting dialogues and conferences with counterparts across West Africa.

The work of NILDS is especially relevant in the area of public finance and debt oversight, given Nigeria's current fiscal landscape. In the 2025 Appropriation Act, debt servicing was allocated over N14 trillion out of a total budget of approximately N55 trillion, reflecting the growing weight of borrowing on public finances. This has intensified the focus of the National Assembly on debt-related scrutiny, making NILDS' role more indispensable. Nigeria's legislature maintains a complex committee system through which debt issues are examined.

At the core are the Senate Committee on Local and Foreign Debts and the House Committee on Aids, Loans and Debt Management, both of which handle the screening and approval of borrowing requests, the review of loan agreements, and the monitoring of debt sustainability. Alongside these are the Committees on Finance and Appropriations, which scrutinize budget assumptions and debt service allocations, and the Public Accounts Committees (PACs), which examine reports of the Auditor-General and track compliance in debt servicing and loan utilization. NILDS serves all these committees by providing debt-service trend analyses, policy briefs on borrowing frameworks, and technical advice on resolutions that authorize external or domestic loans.

NILDS also develops oversight tools and templates that debt committees use when questioning ministries, departments, and agencies such as the Ministry of Finance and the Debt Management Office (DMO). These include terms of reference for inquiries, structured questionnaires for oversight hearings, and reporting frameworks for site visits. Beyond written analysis, NILDS organizes targeted capacity-building workshops for members of debt-related committees, equipping them with the skills to interpret fiscal indicators, track debt-service ratios, and evaluate the alignment of borrowing with Nigeria's Medium-Term Debt Strategy.

The partnership between NILDS and Nigeria's Parliament is therefore symbiotic. On one hand, the legislature provides NILDS with legitimacy and a clear mandate as its statutory think tank. On the other hand, NILDS strengthens parliamentary authority by equipping committees with the evidence, tools, and training required to scrutinize borrowing, manage oversight of debt service, and hold the executive accountable. In practice, this means that debt committees rely on NILDS for pre-hearing briefing notes, technical drafting of resolutions authorizing borrowing, post-legislative scrutiny of loan utilization, and even comparative insights from other parliaments. With Nigeria's debt servicing consuming a large share of the budget, the Institute's work in this space has become central not only to the effectiveness of the committees directly responsible for debt but also to the credibility of the entire National Assembly in its constitutional role of controlling public finance.

5.0 Visit to the Zimbabwe Embassy in Nigeria

The delegation paid a courtesy call to His Excellency, the Zimbabwean Ambassador to Nigeria, Ambassador Ranga, who apprised the delegation on the security issues obtaining in Nigeria. Most importantly, the ambassador informed the delegation that the Zimbabwe Embassy in Nigeria was provided with land for Embassy premises as well as land for the Ambassador's House. The delegation took time to view the sites, where we witnessed massive construction works taking place. His Excellency, the Zimbabwean Ambassador to Nigeria, Ambassador Ranga apprised the delegation that the rental costs for the current premises are unbearable since they are paid 2 years in advance. The desire is to move to the owned premises. However, there is a need for financial support to the tune of US$2.5 million to complete construction work. Contractors were on site but were threatening to leave due to delays in payments. It is therefore important that this matter be urgently considered to facilitate Treasury budget support.

6.0 Observations

a) There are two PAC Committees. One in the House of Representatives and another in the Senate. The two committees operate independently and sometimes form a Harmonised Committee only to clear out issues
b) The unallocated Reserve budget is capped at 5% of the total budget and has clear procedure for how it is expended
c) After the Budget presentation, it is important to conduct a retreat for conducting an in-depth budget analysis at Vote, Programme and sub-programme level.
d) The Public Accounts of Nigeria summon all MDAs in the Auditor General's Reports, leaving no room for deliberate exclusion of certain MDAs.
e) There are specialized debt oversight Committees in the Nigerian National Assembly (comprising the Senate and the House of Representatives) that provide oversight on the entire debt cycle: pre-borrowing assessment, approval, execution, and post-borrowing monitoring

f) All borrowing and Federal level and State level is approved by Parliament.
g) Debt servicing is adequately budgeted for through the Appropriation Act
h) The Federal Parliament Budget is the first line charge of the Budget, hence Parliament oversight is adequately resourced
i) There is significant progress on the construction of Embassy premises, including the Ambassador's House in Abuja, which requires final touch-ups.

7.0 Recommendations for Zimbabwe

a) To ensure that the oversight work of Parliament is efficient, we recommend that the Parliament Budget be the First line charge of the budget;
b) Establish a Debt Oversight Sub Committee that specifically deals with debt issues;
c) Consider a budget retreat where a thorough review of budget allocations is done at Vote, programme and sub-programme levels for each MDA;
d) Put in place regulations for the utilization of the Unallocated Reserve, that is, cap appropriations to below 5% of the total budget and require the Minister to seek authority to spend the Unallocated Funds;
e) Introduce regulations to ensure that Parliament programmes are adequately funded;
f) PAC Zimbabwe must meet once a week during adjournment to enable the summoning of all MDAs in audit reports;
g) Parliament engages Treasury to release funds to facilitate the completion of embassy premises in Abuja;
h) The Portfolio Committee on Budget, Finance, and Investment Promotion, along with the Public Accounts Committee, should each have Committee Clerks assigned exclusively to their specific Committees, without serving any other Committees.

8.0 Conclusion

The benchmarking visit provided Zimbabwe's legislators with valuable insights into Nigeria's parliamentary practices. The exchange of ideas and experiences is expected to inform reforms in Zimbabwe's legislative oversight, contributing to improved fiscal governance and accountability.

